

a particular street and become an expert in a tiny market. This can enable you to spot a deal quickly. You could become a real estate agent to give yourself more access to deals, also allowing you to decrease or eliminate commissions on transactions. If you're handy, you can buy a run-down property and bring it up to standard for the neighborhood. You can add value by adding a bedroom or bathroom to make a property even more appealing to a renter or buyer. You could combine these strategies. Adding value through sweat equity has endless possibilities, allowing greater returns than are possible with passive investments without having to take on more financial risk.

Sweat equity allows you to leverage increased investment returns by applying more effort. Leveraging debt to buy properties also enables you to increase investment returns. But debt isn't a free lunch, either. It can add an element of risk to your investments.

Why would you want to take the risk of using financial leverage? The first reason to use debt is that it may allow you to enter the game. You can buy index mutual funds or ETFs for \$100 or less. You can start many businesses for free. Real estate is different. Even a "cheap" property can cost tens of thousands of dollars, and in many areas starter homes cost well over \$100,000. The cost of entry can